

CASE INTERVIEW PREPARATION

Market Entry

Case Quiz — MCQ Format

2 Cases | 5 Questions Each | Correct Answer + Explanation Included

CASE 1

SpiceBite — Entering the UAE QSR Market

Difficulty: Medium | Format: MCQ Quiz | Time: 15–20 min

SCENARIO

SpiceBite is a fast-growing Indian Quick Service Restaurant (QSR) chain with 200 outlets across India, known for affordable street food. The CEO wants to evaluate whether SpiceBite should enter the UAE market, where a 3.5 million-strong Indian diaspora lives alongside a USD 12 billion F&B market growing at 6% annually. Setup cost per outlet in the UAE is ~USD 275,000, versus an 18-month payback period in India. Key requirements include Halal certification for all food operations.

Q1. What should be your FIRST step when approaching a market entry case?

- A. Immediately calculate the market size using TAM-SAM-SOM
- B. Clarify the client's objective — profit, brand presence, or long-term expansion ✓
- C. List all competitors in the target market
- D. Recommend an entry mode based on industry best practices

Explanation: Before any analysis, a consultant must understand what 'success' looks like for the client. The objective shapes every subsequent recommendation — a brand-building goal may tolerate losses that a profit-first strategy would not.

Q2. SpiceBite is evaluating entry into the UAE. Which factor most directly de-risks their market entry from a demand perspective?

- A. The UAE F&B market is growing at 6% annually
- B. UAE has limited Indian food competitors currently
- C. A 3.5 million-strong Indian diaspora provides a built-in target customer base ✓
- D. SpiceBite already has strong brand recognition globally

Explanation: While market growth (A) is positive context, the diaspora provides immediate, validated demand for SpiceBite's specific product. It reduces the risk of entering a market where the product is unknown or untested.

Q3. SpiceBite's India payback period is 18 months. In the UAE, with higher setup costs and lower margins, the estimated payback period is 2.5–3 years. How should this be interpreted?

- A. The UAE entry is financially unviable and should be abandoned

B. The longer payback is acceptable for a first international market, provided strategic value is clear ✓

C. SpiceBite should negotiate lower rents to match India's payback period before proceeding

D. SpiceBite should reduce menu prices to drive faster volume and compress payback

Explanation: *In consulting, financial metrics are evaluated in context. A longer payback for a first international expansion is typical and acceptable — especially when strategic value (brand, learnings, diaspora market) is high. Abandoning the entry based solely on payback comparison would be an oversimplification.*

Q4. Which entry mode is most appropriate for SpiceBite's UAE expansion?

A. Wholly-owned stores — maximum control over brand and quality

B. Acquisition of an existing UAE F&B chain — fastest route to scale

C. Franchise model with a local UAE partner — balanced risk and local expertise ✓

D. Export model — supply SpiceBite products to UAE supermarkets first

Explanation: *For a first international expansion, a franchise model reduces capital risk while leveraging the local partner's regulatory knowledge, real estate network, and operational expertise. Wholly-owned stores are too capital-intensive and risky for an unproven international market.*

Q5. SpiceBite's supply chain manager flags that key Indian spices and ingredients may need to be imported into the UAE. What is the primary business impact of this?

A. It makes the expansion legally impossible due to food import restrictions

B. It increases the Cost of Goods Sold (COGS), compressing margins vs. India operations ✓

C. It has no impact as the UAE has free trade agreements with India

D. It delays entry by at least 2 years due to customs clearance timelines

Explanation: *Importing ingredients raises landed cost vs. locally sourced alternatives. This is a real operational challenge that compresses margins and must be factored into the financial model. It does not make expansion impossible but should inform pricing and sourcing strategy.*

CASE 2

LearnBridge — Entering the Offline Tutoring Market

Difficulty: Medium–Hard | Format: MCQ Quiz | Time: 20–25 min

SCENARIO

LearnBridge is a B2C EdTech platform with 5 million active users offering live online tutoring for Grades 6–12. Despite strong digital growth, churn is rising — 62% of churned users cite 'lack of discipline and accountability' as their top reason for leaving. The offline tutoring market in India is INR 1.2 lakh Cr (vs. ~INR 10,000 Cr organised online EdTech). Offline revenue per student is INR 60,000–80,000/year versus INR 18,000/year online. Setup cost per offline centre is ~INR 27.5 lakhs.

Q1. LearnBridge is experiencing rising churn. Before recommending offline expansion, what should a consultant do first?

- A. Build a financial model for offline centre unit economics
- B. Benchmark LearnBridge's NPS against EdTech industry averages
- C. Diagnose whether offline expansion actually addresses the root cause of churn ✓
- D. Identify the top 5 cities for pilot offline centres

Explanation: *Jumping to a solution before diagnosing the problem is a classic consulting pitfall. The data shows 62% of churned users cited 'lack of discipline' — this points to a structural gap in online delivery, not a product quality issue. Offline may be the right answer, but must be validated against the actual cause of churn.*

Q2. The offline tutoring market in India is INR 1.2 lakh Cr, while the organised online EdTech market is ~INR 10,000 Cr. What is the most useful insight from this comparison for LearnBridge?

- A. LearnBridge should abandon online and fully pivot to offline
- B. The offline market is 10x larger, representing a significant untapped opportunity ✓
- C. LearnBridge cannot compete in offline as it is too fragmented
- D. The online market is too small to be worth continuing investment

Explanation: *Market size comparison is used to size the opportunity — the offline market being 10x larger signals substantial headroom for a well-positioned player. It does not mean abandoning online; a hybrid model captures both.*

Q3. LearnBridge's online revenue per user is INR 18,000/year, while offline tutoring centres earn INR 60,000–80,000/student/year. What does this imply for the business case?

- A. Online is a better model because it scales with near-zero marginal cost
- B. Offline revenue per student is ~4x higher — this significantly improves unit economics despite higher fixed costs ✓**
- C. LearnBridge should raise online prices to INR 60,000 to avoid offline complexity
- D. The revenue difference is negligible once offline operating costs are factored in

Explanation: *Higher per-student revenue in offline (4x online) is a critical insight — even with significantly higher fixed costs (rent, teachers, operations), the margin profile can be attractive. This is what makes offline economically compelling, not just strategically.*

Q4. LearnBridge is deciding between a company-owned rollout vs. a franchise model for scaling its offline centres. Which is the better approach and why?

- A. Company-owned — ensures full quality control and consistent brand experience
- B. Franchise — enables faster scaling without proportional capital deployment, once the model is validated ✓**
- C. Franchise — because LearnBridge lacks the management bandwidth to run physical centres
- D. Company-owned — franchisees will not invest in educational quality adequately

Explanation: *Franchise is preferred for scaling once the model is proven through pilots. It reduces capital requirements and allows faster geographic expansion. Quality risks (option D) are real but manageable through rigorous franchise agreements and content standardisation — not a reason to avoid franchising altogether.*

Q5. Which of the following best describes LearnBridge's key competitive advantage if it enters the offline tutoring market?

- A. Lower rental costs due to its existing real estate relationships
- B. A hybrid model combining its digital content and analytics with physical accountability ✓**
- C. First-mover advantage, as no EdTech company has entered offline tutoring yet
- D. Lower teacher salary costs due to its strong employer brand

Explanation: *LearnBridge's real edge is its ability to combine proven digital content and learning analytics (from 5M online users) with the accountability and structure of offline centres. This hybrid model is genuinely differentiated from both pure offline players and pure EdTech competitors.*